

Date: May 19, 2026

Vanessa A. Countryman, Secretary
Securities and Exchange Commission
100 F Street, NE
Washington, DC 20549-1090

Subject: File Number S7-2026-15 — Technical Assessment and Opposition to Proposed Semiannual Reporting Framework

Dear Secretary Countryman,

I am writing to formally log my opposition to the Commission's rule proposal to permit public issuers the option to transition from quarterly financial reporting to a semiannual reporting framework on Form 10-S. While acknowledging the Commission's intent to mitigate short-termism and lower corporate compliance costs, empirical evidence and economic principles suggest this framework will degrade market efficiency, elevate cost of capital, and exacerbate information asymmetry.

The introduction of a semiannual reporting cycle creates systemic risks across several critical vectors:

- **Erosion of the U.S. Market Gold Standard and Foreign Investment:** The U.S. capital markets are globally recognized as the gold standard precisely because of our rigorous, transparent, and frequent disclosure regimes. Investors worldwide allocate capital to U.S. equities because they trust the integrity and timeliness of the data. Lowering our standards to match the less frequent reporting cycles of international markets will homogenize our ecosystem, strip away our competitive advantage, and ultimately diminish the attractiveness of U.S. markets to vital foreign direct investment.
- **Compounding Operational and Supply Chain Risks:** In a highly interconnected global economy, operational disruptions—such as severe supply chain bottlenecks, inflationary pressures, or sudden macroeconomic shifts—develop rapidly. A six-month reporting gap ensures that these material risks will compound entirely hidden from public view. Instead of the market making orderly, continuous price discoveries based on quarterly updates, investors will be exposed to severe, delayed material shocks that disrupt portfolio risk management.
- **Information Asymmetry and Bid-Ask Spreads:** In the fields of financial economics and market microstructure, reducing reporting frequency directly increases information asymmetry.

Institutional market participants possess the capital to acquire proprietary, alternative data streams to bridge a six-month information vacuum, whereas individual retail investors do not. Consequently, market makers will likely widen bid-ask spreads to protect against adverse selection, increasing transaction costs and reducing liquidity for the broader market.

- **Delayed Price Discovery and Volatility Clustering:** Quarterly reporting facilitates continuous, incremental price discovery. Extending the reporting interval to six months will cause material structural data to compound behind a curtain of corporate confidentiality. Consequently, when earnings are finally disclosed, the price adjustment process will be discrete rather than continuous. This will result in heightened idiosyncratic volatility and severe price gaps upon announcement, destabilizing secondary market trading.
- **Insufficiency of Form 8-K as an Interim Substitute:** The proposal relies on voluntary, interim financial disclosures furnished via Form 8-K to maintain market communication. This mechanism is structurally flawed. Disclosures under Item 2.02 or 7.01 lack the standardized presentation, mandatory GAAP reconciliations, and strict disclosure controls and procedures (DCP) inherent to Form 10-Q. Relying on fragmented, unstandardized updates diminishes comparability across peers and increases the cognitive processing burden on market analysts.
- **Agency Costs and Corporate Governance:** Quarterly reporting acts as a vital commitment mechanism that aligns manager and shareholder incentives. Extending the reporting window increases the duration of unmonitored management discretion. This lag delays the market's ability to identify capital misallocation, operational drift, or deteriorating internal controls, thereby elevating agency costs and eroding governance discipline.

The proposed reduction in regulatory costs is heavily outweighed by the negative externalities imposed on capital allocation efficiency, market transparency, and global competitiveness. I strongly encourage the Commission to preserve the current mandated quarterly disclosure regime under Exchange Act Rules 13a-13 and 15d-13.

Thank you for analyzing these technical considerations.

Sincerely,

Anthony Langenstein

Individual Investor